

versus a Roth IRA or SEP IRA? (This information is partially taken from the Department of Labor's official site.)

REGARDING RETIREMENT FUNDS

401(k)

A 401(k), named after its subsection in the Internal Revenue Code, is where employees of a company choose to have a portion of their salary put into the company's 401(k) plan (made up of different investments) before taxes. In some cases, the employer matches all or some of these contributions (you should look into if your place of work does this).

There is a dollar limit on the amount an employee can contribute each year, which the federal government sets (in 2018 the limit is \$18,500, so most people don't have to worry about maxing it out, unless you have an extra \$18,000 in your salary you don't need). Employees can choose their own investments from the options the company provides. Your employer maintains the account.

Contributions to 401(k) are not taxed when you put the money in, but the money *is* taxed when you take it out upon retiring (or any other withdrawals). Then you could end up paying a large chunk, depending on what happens to income taxes in the next thirty or so years and how much you take out each year. This kinda sucks. Usually, though, people earn less when they're retired, so income taxes are likely to be lower than when they're working. Still sucks, though!

If you take money out of it before you retire, you pay a LOT of extra taxes on it and have to pay it back (in this case, the future you is just loaning the money to the present you). You can start taking retirement money out without penalty when you're 59½. (Weird.) And you must start taking it out when you're 70½ (also weird) unless you're still working. If you look at your paycheck, you can see the deductions if you opted into it.

When you leave a company, you can take your 401(k) with you. You just have to ask. How do you ask HR at your full-time job for your 401(k) if you're leaving the company or even if you just want to see what's in it? I was worried